



Bill Number: H.B. 2756

Shope Floor Amendment

Reference to: House engrossed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Extends the reporting requirement deadlines relating to new extra high load factor customers for electric public service corporations and public power entities from quarterly to semi-annually.
2. Exempts electric public service corporations that serve 40,000 connections or less from the outlined reporting, rulemaking and the cost-of-service study requirements.
3. Removes the requirement that a public power entity or electric public service corporation that conducts integrated system planning include extra high load factor customers in the public power entities or electric public service corporations load growth projections for the integrated system plan.
4. Specifies that the cost-of-service study requirement for electric public service corporations and public power entities that serve over 1 million connections only applies if the cost-of-service study was requested by the Arizona Corporation Commission for electric public service corporations or by the governing body for outlined public service corporations.
5. Repeals the semi-annual reporting requirements relating to new extra high load factor customers for public power and entities and electric service corporations on January 1, 2034.
6. Makes technical and conforming changes.

SHOPE FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2756
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 30, Arizona Revised Statutes, is amended by adding
3 chapter 2, to read:

4 CHAPTER 2

5 PUBLIC POWER ENTITIES

6 ARTICLE 1. GENERAL PROVISIONS

7 30-301. Public power entities; new extra high load factor
8 customers; semiannual reports

9 A. A PUBLIC POWER ENTITY THAT SERVES MORE THAN ONE MILLION
10 CONNECTIONS IN THIS STATE SHALL FILE WITH THE GOVERNING BODY OF THE PUBLIC
11 POWER ENTITY [QUARTERLY] [SEMIANNUAL] REPORTS REGARDING NEW EXTRA HIGH
12 LOAD FACTOR CUSTOMERS, AS DEFINED BY THE PUBLIC POWER ENTITY, THAT INCLUDE
13 BOTH OF THE FOLLOWING WITH RESPECT TO THE IMMEDIATELY PRECEDING [QUARTER]
14 [SIX-MONTH PERIOD]:

- 15 1. THE NUMBER OF REQUESTS FOR INTERCONNECTION.
16 2. THE NUMBER OF COMPLETED INTERCONNECTIONS.

17 B. BEGINNING TWO YEARS AFTER THE EFFECTIVE DATE OF THIS SECTION,
18 THE GOVERNING BODY OF THE PUBLIC POWER ENTITY MAY SUSPEND THE [QUARTERLY]
19 [SEMIANNUAL] REPORT REQUIREMENT BY A MAJORITY VOTE OF THE GOVERNING BODY
20 IF THE NUMBERS REPORTED BY THE PUBLIC POWER ENTITY PURSUANT TO SUBSECTION
21 A OF THIS SECTION ARE ZERO FOR AT LEAST TWO CONSECUTIVE [QUARTERS]
22 [SIX-MONTH PERIODS]. THE GOVERNING BODY MAY VOTE TO REINSTATE THE
23 [QUARTERLY] [SEMIANNUAL] REPORT REQUIREMENT AT ANY TIME.

24 ~~[C. A PUBLIC POWER ENTITY THAT CONDUCTS INTEGRATED SYSTEM PLANNING~~
25 ~~SHALL INCLUDE EXTRA HIGH LOAD FACTOR CUSTOMERS IN THE PUBLIC POWER~~
26 ~~ENTITY'S LOAD GROWTH PROJECTIONS FOR THE INTEGRATED SYSTEM PLAN.]~~

27 <<Sec. 2. Delayed repeal

28 [Title 30, chapter 2, Arizona Revised Statutes, as added by this
29 act, is repealed from and after December 31, 2033.]>>

1 Sec. 3. Title 40, chapter 2, article 1, Arizona Revised Statutes,
2 is amended by adding section 40-207, to read:

3 40-207. Electric service corporations: new extra high load
4 factor customers; semiannual reports; rules;
5 exemption

6 A. AN ELECTRIC PUBLIC SERVICE CORPORATION OPERATING IN THIS STATE
7 SHALL FILE WITH THE CORPORATION COMMISSION ~~[QUARTERLY]~~ [SEMIANNUAL]
8 REPORTS REGARDING NEW EXTRA HIGH LOAD FACTOR CUSTOMERS, AS ~~[PRESCRIBED IN~~
9 ~~RULE]~~ [DEFINED BY THE CORPORATION COMMISSION], THAT INCLUDE BOTH OF THE
10 FOLLOWING WITH RESPECT TO THE IMMEDIATELY PRECEDING ~~[QUARTER]~~ [SIX-MONTH
11 PERIOD]:

12 1. THE NUMBER OF REQUESTS FOR INTERCONNECTION.

13 2. THE NUMBER OF COMPLETED INTERCONNECTIONS.

14 B. BEGINNING TWO YEARS AFTER THE EFFECTIVE DATE OF THIS SECTION,
15 THE CORPORATION COMMISSION MAY SUSPEND THE ~~[QUARTERLY]~~ [SEMIANNUAL] REPORT
16 REQUIREMENT BY A MAJORITY VOTE IF THE NUMBERS REPORTED BY THE ELECTRIC
17 PUBLIC SERVICE CORPORATION PURSUANT TO SUBSECTION A OF THIS SECTION ARE
18 ZERO FOR AT LEAST TWO CONSECUTIVE ~~[QUARTERS]~~ [SIX-MONTH PERIODS]. THE
19 CORPORATION COMMISSION MAY VOTE TO REINSTATE THE ~~[QUARTERLY]~~ [SEMIANNUAL]
20 REPORT REQUIREMENT AT ANY TIME.

21 ~~[C. AN ELECTRIC PUBLIC SERVICE CORPORATION THAT CONDUCTS INTEGRATED~~
22 ~~RESOURCE PLANNING SHALL INCLUDE EXTRA HIGH LOAD FACTOR CUSTOMERS IN THE~~
23 ~~ELECTRIC PUBLIC SERVICE CORPORATION'S LOAD GROWTH PROJECTIONS FOR THE~~
24 ~~INTEGRATED RESOURCE PLAN.]~~

25 ~~[D.]~~ [C.] THE CORPORATION COMMISSION MAY ~~[.]~~ [ADOPT RULES] PURSUANT
26 TO ARTICLE XV, SECTION 3, CONSTITUTION OF ARIZONA, ~~[THAT DO ALL OF THE~~
27 ~~FOLLOWING:]~~ ESTABLISH REQUIRED CHARACTERISTICS THAT GOVERN THE TERMS FOR
28 ELECTRIC SERVICE [THAT IS] PROVIDED TO EXTRA HIGH LOAD FACTOR CUSTOMERS
29 THAT ARE NOT OTHERWISE PROVIDED SERVICE UNDER A ~~[PRE-EXISTING]~~
30 [PREEXISTING] ELECTRIC PUBLIC SERVICE CORPORATION TARIFF. THE REQUIRED
31 CHARACTERISTICS MAY INCLUDE ALL OF THE FOLLOWING AND ENSURE FLEXIBILITY
32 FOR AN ELECTRIC PUBLIC SERVICE CORPORATION TO DEFINE SPECIFIC TERMS FOR
33 EACH TRANSACTION ON A CASE-BY-CASE BASIS:

34 1. PROVISIONS FOR MINIMUM BILLING REQUIREMENTS.

35 2. MINIMUM CONTRACT LENGTH.

36 3. PROVISIONS THAT GOVERN EARLY EXIT OR TERMINATION OF SERVICE
37 BEFORE THE TERM OF A CONTRACT CONCLUDES.

38 4. REQUIREMENTS FOR CUSTOMER-PROVIDED SECURITY, GUARANTEES OR
39 COLLATERAL TO SUPPORT SERVICE CONTRACT OBLIGATIONS.

40 5. REQUIREMENTS FOR EXTRA HIGH LOAD FACTOR CUSTOMER PAYMENTS TO
41 COVER THE COSTS OF ANY INFRASTRUCTURE IMPROVEMENTS, ADDITIONS OR
42 ~~[EXPANSION]~~ [EXPANSIONS] THAT ARE NECESSARY TO FACILITATE SERVICE TO THE
43 CUSTOMER, WHICH SHALL BE SUPPORTED BY SCHEDULES [THAT ARE] FILED BY THE
44 ELECTRIC PUBLIC SERVICE CORPORATION THAT DEMONSTRATE THE PROTECTION OF
45 ~~[NON-HIGH]~~ [NON-EXTRA HIGH] LOAD FACTOR CUSTOMERS FROM
46 ~~[CROSS-SUBSIDIZATION]~~ [SUBSIDIZING EXTRA-HIGH LOAD FACTOR CUSTOMERS].

1 ~~[F.] [D.]~~ THIS SECTION DOES NOT APPLY TO MEMBER-OWNED ELECTRIC
2 COOPERATIVES ~~[OR ELECTRIC PUBLIC SERVICE CORPORATIONS THAT SERVE FORTY~~
3 ~~THOUSAND CONNECTIONS OR LESS]~~.

4 <<Sec. 4. Delayed repeal

5 [Section 40-207, Arizona Revised Statutes, as added by this act, is
6 repealed from and after December 31, 2033.]>>

7 Sec. 5. Cost-of-service studies; exemption

8 Within one hundred eighty days after the effective date of this act:

9 1. [On the corporation commission's request,] an electric public
10 service corporation operating in this state shall file with the
11 corporation commission a cost-of-service study that shows the cost
12 allocation of serving new extra high load factor customers. This
13 paragraph does not apply to member-owned electric cooperatives [or
14 electric public service corporations that serve forty thousand connections
15 or less].

16 2. [On the governing body's request,] a public power entity that
17 services more than one million connections in this state shall file with
18 the governing body of the public power entity a cost-of-service study that
19 shows the cost allocation of serving new extra high load factor customers.

20 Sec. 6. Legislative findings

21 The legislature finds that this act:

22 1. Is necessary pursuant to article XV, section 3, Constitution of
23 Arizona, "for the convenience, comfort, and safety, and the preservation
24 of the health, of patrons of such corporations".

25 2. Does not attempt to set or establish any specific rates or
26 charges to be made or collected by public service corporations or require
27 the corporation commission to set or adopt any specific rates or charges
28 to be made or collected by a public service corporation.

29 3. Supports ~~[the adoption of rules and]~~ policies that establish new
30 customer classes, rate designs and cost allocation ~~[formula]~~ [formulas]
31 for extra high load factor customers that are reasonable and necessary to
32 prevent cost shifts to residential customers from extra high load factor
33 customers.

34 Enroll and engross to conform

35 Amend title to conform

THOMAS "T.J." SHOPE

2756FloorSHOPE.docx

04/09/2026

11:30 AM

C: SK

130ADVXTZ